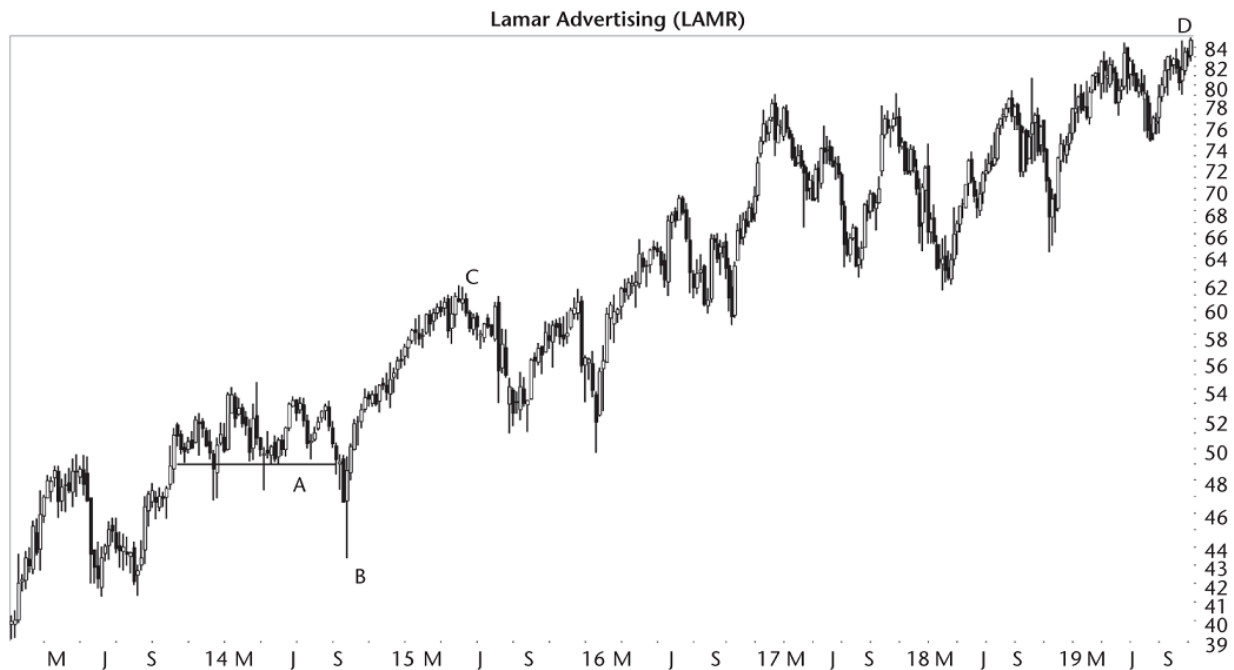


# Bottom Fishing, Buy the Dip

When I have cash I want to put to work in the stock market, I'll flip through 600 charts on my computer, looking for anything that interests me (that takes less than an hour unless I find something interesting). [Figure 1.1](#) shows a weekly chart that caught my attention. Why?



[Figure 1.1](#) The pattern at A and B leads to a strong move higher.

Before I answer that, let me say that I prefer to bottom fish for stocks. That is, I prefer to buy low and sell high. I'm more successful at bottom fishing than momentum trading (buy high, sell higher).

Ideally, a bottom fishing expedition will yield an investment that turns into a momentum play when the stock soars and continues well into the stratosphere.

Some will claim that bottom fishing is a risky play, and they are right. But I argue that momentum trading is even riskier. Only you can decide which practice is best suited for your trading style. I use both, but I prefer fishing because as my portfolio has grown in size, I don't need to trade as much. I can devote my time to *living* instead of playing video games watching candlesticks form on the 5-minute scale.